

**SUBSTITUTE FOR
SENATE BILL NO. 867**

A bill to make appropriations for the judiciary for the fiscal year ending September 30, 2027; and to provide for the expenditure of the appropriations.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

PART 1

LINE-ITEM APPROPRIATIONS

Sec. 101. There is appropriated for the judiciary for the fiscal year ending September 30, 2027, from the following funds:

JUDICIARY

APPROPRIATION SUMMARY

Full-time equated exempted positions	687.5
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GROSS APPROPRIATION	\$ 393,258,400
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Interdepartmental grant revenues:



1	Total interdepartmental grants and		
2	intradepartmental transfers		1,902,300
3	ADJUSTED GROSS APPROPRIATION	\$	391,356,100
4	Federal revenues:		
5	Total federal revenues		7,323,000
6	Special revenue funds:		
7	Total private revenues		1,912,900
8	Total other state restricted revenues		100,887,200
9	State general fund/general purpose	\$	281,233,000
10	Sec. 102. SUPREME COURT		
11	Full-time equated exempted positions	329.0	
12	Community dispute resolution--FTEs	4.0	\$ 4,352,900
13	Foster care review board--FTEs	10.0	1,482,600
14	Jail reform advisory support--FTE	1.0	163,400
15	Judicial information systems--FTEs	113.0	23,410,100
16	Judicial institute--FTEs	17.0	2,968,600
17	Justice for all--FTEs	2.0	1,547,000
18	Michigan legal help		1,000,000
19	Next generation Michigan court system		4,116,000
20	Other federal grants		275,100
21	Problem-solving courts--FTEs	3.0	21,137,200
22	State court administrative office--FTEs	83.0	15,994,000
23	Supreme court administration--FTEs	96.0	17,059,100
24	GROSS APPROPRIATION	\$	93,506,000
25	Appropriated from:		
26	Interdepartmental grant revenues:		
27	IDG from department of corrections		52,300
28	IDG from department of state police		1,500,000



1	IDG from department of state police, Michigan	
2	justice training fund	100,000
3	Total interdepartmental grants and	
4	intradepartmental transfers	1,652,300
5	Federal revenues:	
6	DOJ, drug court training and evaluation	300,000
7	DOT, National Highway Traffic Safety	
8	Administration	2,358,700
9	Federal funds	275,100
10	HHS, access and visitation grant	508,000
11	HHS, children's justice grant	259,800
12	HHS, court improvement project	1,019,000
13	HHS, safe access for victims economic security	
14	grant	420,000
15	HHS, state opioid response grant	352,200
16	HHS, title IV-D child support program	912,800
17	HHS, title IV-E foster care program	333,600
18	Special revenue funds:	
19	Interest on lawyers' trust accounts	414,400
20	Private funds	501,100
21	State justice institute	529,000
22	Community dispute resolution fund	2,620,000
23	Court fee fund	2,007,600
24	Court of appeals filing/motion fees	1,450,000
25	Drug treatment court fund	1,920,500
26	Justice system fund	657,100
27	Law exam fees	808,700
28	Miscellaneous revenue	249,400



1	State court fund		422,800
2	State general fund/general purpose	\$	73,533,900
3	Sec. 103. COURT OF APPEALS		
4	Full-time equated exempted positions	180.0	
5	Court of appeals operations--FTEs	180.0	\$ 28,391,900
6	GROSS APPROPRIATION	\$	28,391,900
7	Appropriated from:		
8	State general fund/general purpose	\$	28,391,900
9	Sec. 104. BRANCHWIDE APPROPRIATIONS		
10	Full-time equated exempted positions	6.0	
11	Branchwide appropriations--FTEs	6.0	\$ 10,398,400
12	GROSS APPROPRIATION	\$	10,398,400
13	Appropriated from:		
14	State general fund/general purpose	\$	10,398,400
15	Sec. 105. JUSTICES' AND JUDGES' COMPENSATION		
16	Judges' positions--591.0 justices and judges		
17	Supreme court justices' salaries--7.0 justices	\$	1,270,500
18	Circuit court judges' state base salaries--		
19	223.0 judges		32,563,500
20	Circuit court judicial salary standardization		10,196,800
21	Court of appeals judges' salaries--25.0 judges		5,188,500
22	District court judges' state base salaries--		
23	232.0 judges		33,877,700
24	District court judicial salary standardization		10,608,600
25	Probate court judges' state base salaries--		
26	104.0 judges		15,060,600
27	Probate court judicial salary standardization		4,715,300
28	Judges' retirement system defined contributions		9,734,600

1	OASI, Social Security		8,661,600
2	GROSS APPROPRIATION	\$	131,877,700
3	Appropriated from:		
4	Special revenue funds:		
5	Court fee fund		3,119,300
6	State general fund/general purpose	\$	128,758,400
7	Sec. 106. JUDICIAL AGENCIES		
8	Full-time equated exempted positions	17.0	
9	Judicial tenure commission--FTEs	17.0	\$ 2,995,100
10	GROSS APPROPRIATION	\$	2,995,100
11	Appropriated from:		
12	State general fund/general purpose	\$	2,995,100
13	Sec. 107. INDIGENT DEFENSE - CRIMINAL		
14	Full-time equated exempted positions	129.5	
15	Appellate public defender program--FTEs	97.0	\$ 18,224,900
16	Juvenile life resentencing--FTEs	32.5	5,621,200
17	Michigan appellate assigned counsel system		
18	roster attorney compensation grants		4,408,100
19	GROSS APPROPRIATION	\$	28,254,200
20	Appropriated from:		
21	IDG from department of state police		250,000
22	Total interdepartmental grants and		
23	intradepartmental transfers		250,000
24	Federal revenues:		
25	Federal funds		583,800
26	Special revenue funds:		
27	Interest on lawyers' trust accounts		88,400
28	Michigan justice fund		380,000



1	Miscellaneous revenue		172,400
2	State general fund/general purpose	\$	26,779,600
3	Sec. 108. INDIGENT CIVIL LEGAL ASSISTANCE		
4	Indigent civil legal assistance	\$	7,937,000
5	GROSS APPROPRIATION	\$	7,937,000
6	Appropriated from:		
7	Special revenue funds:		
8	State court fund		7,937,000
9	State general fund/general purpose	\$	0
10	Sec. 109. TRIAL COURT OPERATIONS		
11	Full-time equated exempted positions	26.0	
12	Court equity fund reimbursements	\$	60,815,700
13	Drug case-flow program		250,000
14	Drunk driving case-flow program		3,300,000
15	Judicial technology improvement fund		4,815,000
16	Juror compensation reimbursement--FTE	1.0	6,619,900
17	Statewide e-file system--FTEs	25.0	12,097,500
18	GROSS APPROPRIATION	\$	87,898,100
19	Appropriated from:		
20	Special revenue funds:		
21	Court equity fund		50,440,000
22	Drug case information management fund		250,000
23	Drunk driving case-flow assistance fund		3,300,000
24	Judicial electronic filing fund		12,097,500
25	Judicial technology improvement fund		4,815,000
26	Juror compensation fund		6,619,900
27	State general fund/general purpose	\$	10,375,700
28	Sec. 110. ONE-TIME APPROPRIATIONS		



1	Accelerated resentencing hearings	\$	2,000,000
2	GROSS APPROPRIATION	\$	2,000,000
3	Appropriated from:		
4	Juror compensation fund		2,000,000
5	Total other state restricted revenues		2,000,000
6	State general fund/general purpose	\$	0

PART 2

PROVISIONS CONCERNING APPROPRIATIONS

FOR FISCAL YEAR 2026-2027

GENERAL SECTIONS

Sec. 201. In accordance with section 30 of article IX of the state constitution of 1963, for the fiscal year ending September 30, 2027, total state spending under part 1 from state sources is \$382,120,200.00 and total state spending under part 1 from state sources to be paid to local units of government is \$169,486,400.00. The following itemized statement identifies appropriations from which spending to local units of government will occur:

JUDICIARY**SUPREME COURT**

Judicial information services	\$	17,319,100
Next generation Michigan court system		4,116,000
Problem-solving courts		17,856,000
State court administrative office		200,000

JUSTICES' AND JUDGES' COMPENSATION

Circuit court judicial salary standardization	\$	10,196,800
District court judicial salary standardization		10,608,600
OASI, Social Security		1,515,900



1	Probate court judges' state base salaries	15,060,600
2	Probate court judicial salary standardization	4,715,300
3	TRIAL COURT OPERATIONS	
4	Court equity fund reimbursements	\$ 60,815,700
5	Drug case-flow program	250,000
6	Drunk driving case-flow program	3,300,000
7	Judicial technology improvement fund	4,815,000
8	Juror compensation reimbursement	6,619,900
9	Statewide e-file system	12,097,500
10	TOTAL	\$ 169,486,400

11 Sec. 202. The appropriations under this part and part 1 are
12 subject to the management and budget act, 1984 PA 431, MCL 18.1101
13 to 18.1594.

14 Sec. 203. As used in this part and part 1:

15 (a) "DOJ" means the United States Department of Justice.

16 (b) "DOT" means the United States Department of
17 Transportation.

18 (c) "FTE" means full-time equated exempted positions.

19 (d) "HHS" means the United States Department of Health and
20 Human Services.

21 (e) "IDG" means interdepartmental grant.

22 (f) "OASI" means old age survivor's insurance.

23 (g) "Restorative justice" means a process that is guided by
24 neutral, trained, and experienced facilitators to provide a safe
25 space for individuals to address wrongdoing or harm with each
26 other, repair relationships, and offer a positive path moving
27 forward.

28 (h) "Standard report recipients" means the senate and house
29 appropriations subcommittees on corrections and judiciary, the



1 senate and house fiscal agencies, the senate and house policy
2 offices, and the state budget office.

3 (i) "Title IV-D" means the part of the federal social security
4 act, 42 USC 301 to 1397mm, pertaining to the child support
5 enforcement program.

6 (j) "Title IV-E" means the part of the federal social security
7 act, 42 USC 301 to 1397mm, pertaining to the foster care program.

8 Sec. 204. The judicial branch shall use the internet to
9 fulfill the reporting requirements of this part and shall make each
10 report readily accessible to the public and conspicuously post each
11 required report on the judicial branch's website not later than the
12 applicable due date. In addition, the judicial branch shall
13 maintain on its website reports posted in previous fiscal years.
14 The judicial branch shall also transmit all required reports under
15 this part to the standard report recipients and any other required
16 recipients by email.

17 Sec. 205. To the extent permissible under section 261 of the
18 management and budget act, 1984 PA 431, MCL 18.1261, all of the
19 following apply to the expenditure of funds appropriated in part 1:

20 (a) The funds must not be used for the purchase of foreign
21 goods or services, or both, if competitively priced and of
22 comparable quality American goods or services, or both, are
23 available.

24 (b) Preference must be given to goods or services, or both,
25 manufactured or provided by Michigan businesses, if they are
26 competitively priced and of comparable quality.

27 (c) Preference must be given to goods or services, or both,
28 that are manufactured or provided by Michigan businesses owned and
29 operated by veterans, if they are competitively priced and of



1 comparable quality.

2 Sec. 206. The state court administrative office shall prepare
3 a report on travel expenses not later than January 1. The report
4 must list all travel by judicial branch employees outside this
5 state in the previous fiscal year that was funded in whole or in
6 part with funds appropriated in the judicial branch's budget. The
7 state court administrative office shall submit the report to the
8 standard report recipients and to the senate and house
9 appropriations committees. The report must include all of the
10 following information:

11 (a) The dates of each travel occurrence.

12 (b) The total transportation and related expenses of each
13 travel occurrence and the proportions funded with state general
14 fund/general purpose revenues, state restricted revenues, federal
15 revenues, and other revenues.

16 Sec. 207. Not later than December 15, the judicial branch
17 shall cooperate with the state budget office to prepare and submit
18 a report that provides estimates of the total general fund/general
19 purpose appropriation lapses at the close of the previous fiscal
20 year. The report must summarize the projected year-end general
21 fund/general purpose appropriation lapses by major judicial program
22 or program areas. The state budget office shall submit the report
23 to the standard report recipients and to the chairpersons of the
24 senate and house appropriations committees.

25 Sec. 208. From the funds appropriated in part 1, the judicial
26 branch shall maintain a searchable website accessible by the public
27 at no cost that posts all of the expenditures made by the judicial
28 branch within a fiscal year. A post must include the purpose for
29 the expenditure. The judicial branch shall not provide financial



1 information on the public website that would violate a federal or
2 state law, rule, regulation, or guideline that establishes privacy
3 or security standards applicable to that financial information.

4 Sec. 209. Not later than 14 days after the release of the
5 executive budget recommendation, the judicial branch shall
6 cooperate with the state budget office to provide an annual report
7 on estimated state restricted fund balances, state restricted fund
8 projected revenues, and state restricted fund expenditures for the
9 previous 2 fiscal years. The report must be submitted to the
10 standard report recipients and to the chairpersons of the senate
11 and house appropriations committees.

12 Sec. 210. Total authorized appropriations from all sources
13 under part 1 for legacy costs for the fiscal year ending September
14 30, 2027 are estimated at \$9,414,300.00 for the judicial branch.
15 From this amount, total appropriations for pension-related legacy
16 costs for the judicial branch are estimated at \$9,414,300.00. Total
17 appropriations for retiree health care legacy costs for the
18 judicial branch are estimated at \$0.00.

19 Sec. 211. The judicial branch shall not take disciplinary
20 action against an employee of the judicial branch because the
21 employee communicates with a member of the legislature or
22 legislative staff, unless the communication is prohibited by law
23 and the judicial branch is exercising its authority as provided by
24 law.

25 Sec. 212. The judicial branch shall receive and retain copies
26 of all reports funded from appropriations in part 1. The judicial
27 branch shall follow federal and state law and guidelines for short-
28 term and long-term retention of records. The judicial branch may
29 electronically retain copies of reports unless otherwise required



1 by federal and state guidelines.

2 Sec. 213. To the extent possible, the judicial branch shall
3 not expend appropriations under part 1 until all existing
4 authorized work project funds available for the same purposes are
5 exhausted.

6 Sec. 214. Not later than 6 months after the state budget
7 office issues work project letters, the judicial branch shall
8 submit an annual report that summarizes all work project accounts.
9 The report must include all of the following:

10 (a) A list of all work project accounts.

11 (b) The status of all work project accounts, including amounts
12 expended, amounts encumbered, and available balances for each
13 account.

14 (c) The amount of funds that lapsed from any previously
15 designated work project accounts, the name and description of the
16 work project account, and the funds that received the lapsed
17 amounts.

18 Sec. 215. (1) Funds appropriated in part 1 to an entity in the
19 judicial branch must not be expended or transferred to another
20 account without written approval of the authorized agent of the
21 judicial entity. If the authorized agent of the judicial entity
22 notifies the state budget director of its approval of an
23 expenditure or transfer, the state budget director shall
24 immediately make the expenditure or transfer. The authorized
25 judicial entity agent shall be designated by the chief justice of
26 the supreme court.

27 (2) Funds appropriated to the judicial branch must not be
28 expended by a component in the judicial branch without the approval
29 of the supreme court.



1 Sec. 217. Not later than November 15, the judicial branch
2 shall disclose on a publicly accessible website private and other
3 third-party funds received by the judicial branch in the previous
4 fiscal year. The report must include the amount of funding
5 received, the specific source of funding received, the purpose for
6 which funding was expended, and the amount of any remaining funds.
7 The report must be submitted to the standard report recipients and
8 to the chairpersons of the senate and house appropriations
9 committees.

10 Sec. 218. The chief justice shall take steps to ensure that
11 all state fiscal recovery funds received under the American rescue
12 plan act of 2021, Public Law 117-2, by the judicial branch are
13 expended by December 31, 2026, as required by law. Any state fiscal
14 recovery funds that would otherwise lapse after September 30, 2026
15 are automatically reappropriated for the same purpose as originally
16 authorized and available for expenditure through December 31, 2026
17 and any subsequent financial close out period.

18
19 **JUDICIAL BRANCH**

20 Sec. 301. From the funds appropriated in part 1 for the
21 judicial branch, \$711,900.00 is allocated for circuit court
22 reimbursement under section 3 of 1978 PA 16, MCL 800.453, and for
23 costs associated with the court of claims.

24 Sec. 302. A member of the legislature may request a report or
25 data from the data collected in the judicial data warehouse. The
26 report must be made available to the public upon request, unless
27 disclosure is prohibited by court order or state or federal law. If
28 data is provided under this section, the data must be public and
29 nonidentifying information, as determined by the state court



1 administrative office. As used in this section, "nonidentifying
2 information" means information that does not include personal
3 information that, if released, would be considered invasion of
4 privacy.

5 Sec. 303. (1) From the funds appropriated in part 1 for
6 community dispute resolution, community dispute resolution centers
7 shall provide dispute resolution services specified in the
8 community dispute resolution act, 1988 PA 260, MCL 691.1551 to
9 691.1564, help reduce suspensions and truancy, and improve school
10 environment. The funds appropriated in part 1 for community dispute
11 resolution may be used to develop or expand juvenile diversion
12 services in coordination with local prosecutors.

13 (2) Of the amount appropriated for community dispute
14 resolution, \$768,800.00 may be used for restorative justice
15 purposes.

16 Sec. 304. If funds in the court fee fund are insufficient to
17 pay judges' compensation, the difference between the appropriated
18 amount from that fund for judges' compensation and the actual
19 amount available after the amount appropriated for trial court
20 reimbursement is made is appropriated from the state general fund
21 for judges' compensation. If an appropriation from the state
22 general fund is necessary under this section, not later than 14
23 days after the appropriation, the state court administrative office
24 shall submit a report to the standard report recipients and the
25 senate and house appropriations committees.

26 Sec. 305. From the funds appropriated in part 1, the state
27 court administrative office shall submit a report on drug
28 treatment, mental health, and veterans court programs in this state
29 not later than March 1. The report must include all of the



1 following information for each individual court, by program:

2 (a) The number of each type of program.

3 (b) The number of program participants.

4 (c) The impact of the programs on offender criminal
5 involvement and recidivism.

6 (d) An accounting of previous fiscal year expenditures,
7 including grant amounts requested, grant amounts awarded, and grant
8 amounts expended.

9 Sec. 306. (1) The funds appropriated in part 1 for problem-
10 solving courts must be administered by the state court
11 administrative office to operate problem-solving court programs. A
12 problem-solving court shall use all available county and state
13 personnel involved in the disposition of cases, including, but not
14 limited to, parole and probation agents, prosecuting attorneys,
15 defense attorneys, and community corrections providers. The funds
16 may be used in connection with other federal, state, and local
17 funding sources.

18 (2) From the funds appropriated in part 1, the chief justice
19 shall allocate sufficient funds for the Michigan judicial institute
20 to provide in-state training for those identified in subsection (1)
21 and new problem-solving court judges.

22 (3) The state court administrative office may prioritize
23 funding for courts that have a higher number of filed substance use
24 disorder cases.

25 (4) To assist the department of corrections and avoid prison
26 bed space growth for nonviolent offenders, the judicial branch
27 shall receive \$1,500,000.00 in Byrne formula grant funding through
28 an interdepartmental grant from the department of state police to
29 be used to support problem-solving court costs consistent with



1 Byrne grant program criteria.

2 (5) Of the amount appropriated in part 1 for problem-solving
3 courts, \$768,800.00 may be used for restorative justice purposes.

4 (6) A problem-solving court may include, but is not limited
5 to, any of the following:

6 (a) Drug treatment courts under chapter 10A of the revised
7 judicature act of 1961, 1961 PA 236, MCL 600.1060 to 600.1088.

8 (b) Mental health courts under chapter 10B of the revised
9 judicature act of 1961, 1961 PA 236, MCL 600.1090 to 600.1099a.

10 (c) Juvenile mental health courts under chapter 10C of the
11 revised judicature act of 1961, 1961 PA 236, MCL 600.1099b to
12 600.1099m.

13 (d) Family treatment courts under chapter 10D of the revised
14 judicature act of 1961, 1961 PA 236, MCL 600.1099aa to 600.1099ll.

15 (e) Veterans treatment courts under chapter 12 of the revised
16 judicature act of 1961, 1961 PA 236, MCL 600.1200 to 600.1212.

17 Sec. 308. From the funds appropriated in part 1, the judicial
18 branch shall support a statewide legal self-help internet website
19 and local nonprofit self-help centers that use the statewide
20 website to provide assistance to individuals who represent
21 themselves in civil legal proceedings. The state court
22 administrative office shall summarize the costs to maintain the
23 website, provide statistics on the number of individuals who visit
24 the website, and provide information on content usage, form
25 completion, and user feedback not later than March 1 for the
26 previous fiscal year.

27 Sec. 309. From the funds appropriated in part 1, the state
28 court administrative office shall submit a report on the statewide
29 judicial case management system not later than March 1. The report



1 must provide a status update on development and implementation of
2 the statewide judicial case management system and must include all
3 appropriation and expenditure data for all previous and the current
4 fiscal years.

5 Sec. 310. The state court administrative office shall not
6 impose local user fees or collect local user fees from trial courts
7 that are using the statewide judicial case management system.

8 Sec. 311. (1) If Byrne formula grant funding is awarded to the
9 state appellate defender office in excess of the amount
10 appropriated in part 1, the state appellate defender office may
11 receive and expend not more than \$250,000.00 of Byrne formula grant
12 funds as an interdepartmental grant from the department of state
13 police.

14 (2) If the state appellate defender office receives federal
15 grant funding from the United States Department of Justice in
16 excess of the amount appropriated in part 1, the state appellate
17 defender office may receive and expend not more than \$300,000.00 in
18 federal grant funds.

19 Sec. 313. (1) From the funds appropriated in part 1, the state
20 appellate defender office shall operate the program to ensure this
21 state's compliance with *Montgomery v Louisiana*, 577 US 190 (2016),
22 *People v Parks*, 510 Mich 225 (2022), *People v Stovall*, 510 Mich 301
23 (2022), *People v Poole*, 349 Mich App 594 (2024), *People v*
24 *Czarnecki*, Mich (2025), and *People v Taylor*, Mich (2025). The
25 purpose of the program is to ensure competent, resourced, and
26 supervised counsel in cases that involve resentencing individuals
27 who are serving a life sentence for an offense committed when the
28 individuals were 20 years of age or younger.

29 (2) The state appellate defender office shall submit a report



1 not later than March 1 on the number of cases investigated and
2 prepared by the state appellate defender office under subsection
3 (1). The report must include a calculation of the hours spent and
4 the incremental costs associated with the investigation and robust
5 examination of each case.

6 Sec. 314. (1) The funds appropriated in part 1 for Michigan
7 appellate assigned counsel system roster attorney compensation
8 grants must be deposited into the restricted Michigan appellate
9 assigned counsel system attorney compensation fund created in
10 subsection (2).

11 (2) The Michigan appellate assigned counsel system attorney
12 compensation fund is created in the state treasury. The state
13 treasurer may receive money or other assets from any source for
14 deposit into the fund. The state treasurer shall direct the
15 investment of the fund and credit to the fund interest and earnings
16 from fund investments. Unexpended funds at the close of the fiscal
17 year must remain in the fund and shall not lapse to the general
18 fund. The judicial branch shall be the administrator of the fund
19 for auditing purposes. The judicial branch shall expend money from
20 the fund to provide payments to indigent defense systems as
21 provided under section 8a of the appellate defender act, 1978 PA
22 620, MCL 780.718a.

23 (3) All funds available in the Michigan appellate assigned
24 counsel system attorney compensation fund are appropriated and
25 available for expenditure as provided by law.

26
27 **ONE-TIME APPROPRIATIONS**

28 Sec. 401. (1) From the funds appropriated in part 1 for
29 accelerated resentencing hearings, the state appellate defender



1 office may hire up to 4.0 limited-term employees to support and
2 accelerate the agency's juvenile lifer resentencing program, as
3 described in section 313.

4 (2) The unexpended appropriations in part 1 for accelerated
5 resentencing hearings are designated as a work project
6 appropriation. Any unencumbered or unallotted funds shall not lapse
7 at the end of the fiscal year and shall be available for
8 expenditure for the project under this section until the project
9 has been completed. The following is in compliance with section
10 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

11 (a) The purpose of the project is to supplement and accelerate
12 juvenile lifer resentencing hearings as required by law.

13 (b) The project will be accomplished by utilizing state
14 resources and contracts.

15 (c) The total estimated completion cost of the project is
16 \$2,000,000.00.

17 (d) The tentative completion date for the work project is
18 September 30, 2030.